



Internal Guidelines for the Preparation of the FY 2026 Plan and Budget Proposal of the Department of Agriculture

1. Introduction

The issuance of this document signifies the commencement of the preparation of the Department of Agriculture's (DA) FY 2026 Plan and Budget Proposal (PBP). The preparation process must ensure alignment with the national priorities, strategic direction of the current administration, relevant agriculture and fisheries (A&F)-related laws, and budget priority frameworks, as provided in [Annex A](#). These are also stipulated in the Internal Guidelines for the Formulation of the Investment Program for the DA's Sector Plan Para sa Masaganang Bagong Pilipinas¹, which will serve as a key reference to the formulation of the FY 2026 PBP.

2. Purpose

This document aims to provide a structured approach for the preparation of the Department's FY 2026 PBP. Specifically, this document shall serve as a guide to all Operating Units (OUs) of the Department, including its Attached Agencies and Corporations, in the preparation of their respective FY 2026 PBP.

At the end of the plan and budget preparation process, the DA-OUs should have developed catalytic proposals that will help realize the objectives laid out in the DA's *Para sa Masaganang Bagong Pilipinas Plan 2024-2028*, aimed at achieving food security and developing the sector as a profitable industry for all stakeholders involved in the value chain. These proposals should promote effective public resource utilization and must be based on the following key principles:

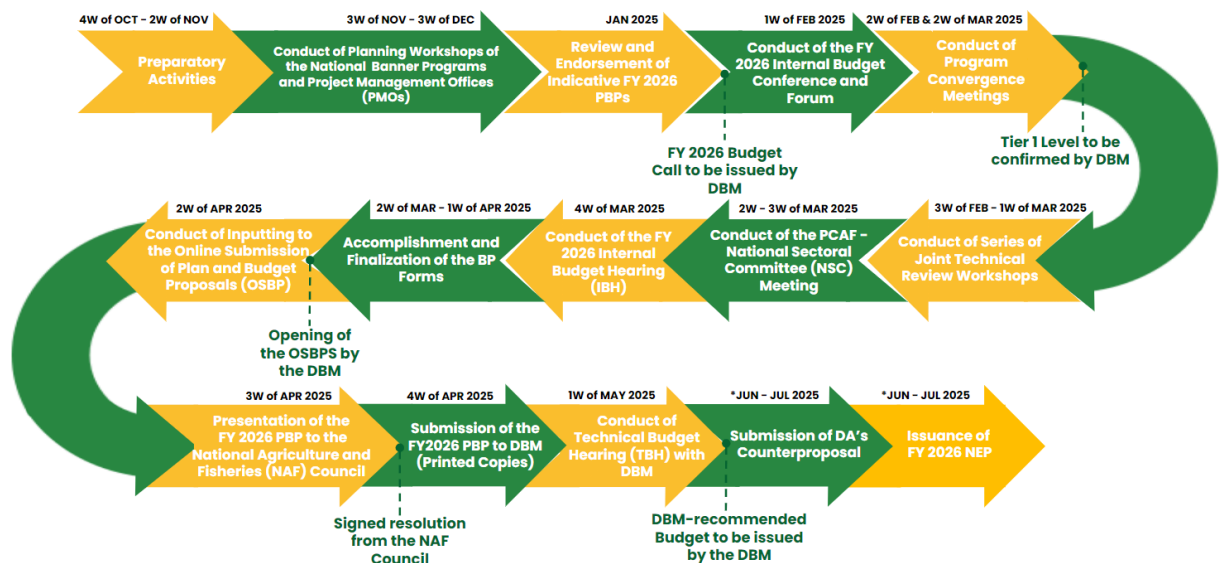
- 2.1. Programmatic, Targeted, and Outcome-based: Proposals should have a structured approach with clear and measurable outcomes that contribute to economic growth, poverty reduction, and sector development. Priority funding shall be given to disadvantaged/low-yielding/less competitive areas with vast potential to address present challenges, as applicable. Focus will be on these areas to improve their competitiveness and significantly contribute to the overall sector growth;
- 2.2. Cost-efficiency and industry relevance: Proposals should demonstrate fiscal responsibility and be driven by thorough needs-based assessments to ensure that interventions are aligned with the current demands and trends of the agriculture and fisheries sector; and
- 2.3. Shovel-readiness: Proposals must include essential supporting documents, such as lists of suppliers, identified target beneficiaries and locations, approved

¹ Memorandum from the Secretary dated 1 August 2024 with the Subject Internal Guidelines for the Formulation of the Investment Program for the DA's Sector Plan, *Para sa Masaganang Bagong Pilipinas* and Updating of the Public Investment Program (PIP) 2023-2028 and the Three-Year Rolling Infrastructure Program (TRIP) 2026-2028 as Input to the FY 2026 Plan and Budget Preparation: <http://bit.ly/3ZJK6PO>

implementing guidelines, feasibility studies, and other relevant materials.

3. Planning Process/Procedures

The preparation of the FY 2026 PBP will involve the following processes:



3.1. Preparatory Activities

- 3.1.1. Taking off from the updating of the PIP 2023-2028 and TRIP 2026-2028 as input to the FY 2026 PBP, DA-OUs are expected to have carried out investment planning activities to formulate their respective investment programs anchored on the strategic framework of the *Para sa Masaganang Bagong Pilipinas* Plan. The Field Operations Service (FOS), Banner Program Directorates, Project Management Offices (PMOs), and relevant OSec Units should have issued the necessary guidance to their counterparts in the Regional Field Offices (RFOs) and other implementing units (IUs) in the preparation of indicative PBPs.
- 3.1.2. Attached Agencies and Corporations, especially those with regional counterparts, are also encouraged to issue supplemental guidelines/instructions and conduct consultation activities relative to the preparation of their indicative PBPs.
- 3.1.3. RFOs shall conduct regional consultations with their stakeholders to discuss and validate the proposals included in the FY 2024 updating of the PIP 2023-2028 specifically for FY 2026, including the final list of PAPs agreed as regional priorities during the FY 2024 Regional-National Investment Programming (RNIP) Dialogue (i.e., the Agency Regional-National Investment Programs and Projects, or ANIPAPs).
- 3.1.4. The Planning and Monitoring Service - Planning and Programming Division (PMS-PPD) will issue a template to be accomplished by the RFOs, which will serve as the basis in organizing the consultations' outputs. The accomplished template shall then be submitted to the PMS-PPD for endorsement to the PMOs.

RFOs that have already conducted their regional consultations prior to the issuance of this Guidelines shall verify the outputs generated from the said workshops against the PIP 2023-2028.

- 3.1.5. In addition, the PMS shall spearhead the National Agriculture Planning Summit to be participated by municipal, city, and provincial agricultural offices. This consultation workshop aims to gather necessary data and identify priority interventions and investment requirements through the local agricultural officers.
- 3.1.6. Outputs of the consultations, including the National Agriculture Planning Summit, shall be used as inputs to the planning workshops to be spearheaded by the national banner programs and PMOs, as well as in the succeeding PBP activities.

3.2. **Conduct of Planning Workshops of the National Banner Programs and Project Management Offices (PMOs)**

The NPMO shall conduct planning workshops together with their respective implementing units and other relevant OUs. The NPMO shall also invite private sector representatives during the conduct of the workshop to provide further inputs to the planning process.

The following shall be the focus of the said workshops:

- 3.2.1. **Identification of Tier 1 and Tier 2 Proposals.** All OUs shall use the FY 2026 Forward Estimates (disaggregated by PAP) to be provided by the Financial and Management Service - Budget Division (FMS-BD), based on the FY 2026 Tier 1 Ceiling reflected in the National Budget Memorandum (NBM) No. 151. Given the limited fiscal space, OUs must ensure that top priority PAPs and all mandatory expenses are included under Tier 1.

As to the other priority PAPs from PIP and TRIP that cannot be covered by Tier 1, only those that are shovel-ready shall be proposed under Tier 2.

These shall be subject for prioritization based on i.) financial and physical performance of the OU; ii.) PAP responsiveness; iii.) value chain segment coverage; and iv.) impact.

- 3.2.2. **Identification of PAP Line Item.** Subsequently, given that the PIP only reflects program level, OUs must ensure that the identified PAPs shall correspond to a specific PAP line item.

Further, all OUs are instructed to review and apply existing Department/Administrative Orders, Internal Issuances, and other administrative reforms to ensure that the identified PAPs are appropriately tagged under a particular line item as provided in [Annex](#)

B.

3.3. **Review and Endorsement of Indicative FY 2026 PBPs**

- 3.3.1. The indicative FY 2026 PBPs will be submitted to the designated technical management teams' focal office, as outlined in [Special Order \(SO\) 1087, Series of 2024²](#), for their comprehensive review and harmonization.

Technical Management Teams Focal Office

CLUSTER FUNCTION	FOCAL OFFICE
Marketing Team	Agribusiness and Marketing Assistance Service
Production Team	Field Operations Service
Extension Team	Agricultural Training Institute
Research Team	Bureau of Agricultural Research
Regulatory Team	Bureau of Agriculture and Fisheries Standards
Irrigation Team	National Irrigation Administration
Mechanization Team	Philippine Center for Postharvest Development and Mechanization
Analytical Laboratories Team	Food Development Center
Special Support Team	Philippine Council for Agriculture and Fisheries

- 3.3.2. The review shall focus on ensuring that all submissions are aligned with the strategic goals and core responsibilities of the respective functional clusters. Focal offices shall also ensure that the proposals adhere to the key principles prior to endorsement of the OUs' FY 2026 PBPs.

Additionally, focal offices will take into account recommendations and insights from the assessment of each cluster when finalizing the FY 2026 PBPs.

- 3.3.3. In addition to the above-mentioned focal offices, the following requirements must be observed:

- 3.3.3.1. **Policy-related proposals** shall be reviewed and endorsed by the Policy Research Service (PRS);

² Creation of the Steering Committee and Technical Management Team Focal Agency for the Institutionalization of Clustering by Functions within the Department of Agriculture (DA). There is a potential amendment to this SO; therefore, provisions may be subject to change, and those amendments will be followed accordingly.

- 3.3.3.2. All **ICT-related proposals** shall be submitted to the DA-Information and Communications Technology Service (ICTS) to ensure consistency with the approved Information System Strategic Plan (ISSP). The DA-ICTS shall package these proposals and facilitate the submission based on the guidelines set by the ISSP Secretariat of the Department of Information and Communications Technology (DICT);
- 3.3.3.3. All proposed **Special Projects** (Locally-funded and Foreign-assisted Projects), both regional and national, shall be coordinated with the Special Projects Coordination and Management Assistance Division (SPCMAD) and the Project Development Service (PDS), for ongoing and new, respectively. The list of proposed special projects (LFPs and FAPs) shall be officially endorsed by SPCMAD;
- 3.3.3.4. All OUs with **initiatives attributable to climate change** shall coordinate with the Climate Resilient Agriculture Office (CRAO) and submit the prescribed form from the DBM;
- 3.3.3.5. All **proposals to be allocated for Conflicted, Post-Conflicted, and Conflict Vulnerable Areas**, must be submitted to and reviewed by the Office of the Undersecretary for Bangsamoro Autonomous Region in Muslim Mindanao (BARMM) and Mindanao Concerns; and
- 3.3.3.6. All OUs with proposed **Special Provisions** shall coordinate with the Department's Legal Service for their review prior to submission to the Planning and Monitoring Service-Planning and Programming Division (PMS-PPD).
- 3.3.3.7. All **Research and development (R&D)-related proposals** shall be submitted to the Bureau of Agricultural Research (BAR) for their review and endorsement to avoid duplication and ensure alignment with the DA's National Agricultural and Fisheries Research for Development and Extension Agenda (NAREA) 2023-2028;
- 3.3.3.8. All proposals for **infrastructure, machineries, and equipment, and irrigation network services** must be encoded in the Agricultural and Biosystems Engineering Management Information System (ABEMIS), for review and evaluation of the Bureau of Agricultural and Fisheries Engineering (BAFE) and Bureau of Soils and Water Management (BSWM), respectively;
- 3.3.3.9. Attribute appropriate programs, activities, and projects (PAPs) to the **Gender and Development Plan and Budget Proposals**;

- 3.3.4. Upon review, the focal offices shall endorse the indicative FY 2026 PBPs of their member OUs to the PMS and FMS.

3.4. Conduct of the FY 2026 Internal Budget Conference and Forum

The PMS-PPD and FMS-BD shall lead and facilitate the conduct of the Internal Budget Conference (IBC) and Internal Budget Forum (IBF).

- 3.4.1. The IBC will entail the review and assessment of the Department's FY 2024 financial and physical accomplishments and the presentation of the FY 2025 General Appropriations Act's (GAA) salient features as well as its implementation. The outputs and agreements of the IBC will be considered as crucial inputs to the IBF.
- 3.4.2. The IBF, on the other hand, will serve as a preliminary platform for Executive Committee (ExeCom) members, most importantly the Secretary, to cascade their directives to all DA-OUs in crafting their respective FY 2026 PBPs. This will also include specific instructions and additional guidelines from the FY 2026 Budget Call issued by the DBM.

Concerned OUs (i.e., Banner Programs, OSEC Service Units, Bureaus, Attached Agencies and Corporations, and Locally-funded and Foreign-assisted Projects) shall present their respective Multi-Year Investment Program 2026-2028, with an emphasis on the FY 2026 PBP most particularly the emerging outcomes or results that they intend to achieve (e.g. yield and/or volume increase, expansion areas in terms of hectarage, etc.) vis-a-vis the level of investments that they are proposing. This will allow the ExeCom members to provide early feedback and direction on the initial/indicative proposals of the OUs. The agreed-upon revisions and directives from the ExeCom members will subsequently be used to scrutinize and refine the OUs' proposals during the series of joint Technical Review Workshops (TRWs).

3.5. Conduct of Program Convergence Meetings

3.5.1. Agriculture Development Program (ADP)

- 3.5.1.1. The DA, through the PMS-PPD and FMS-BD, shall spearhead the crafting of the ADP, which is identified as one of the government's priority convergence programs.
- 3.5.1.2. As the lead agency for the ADP, the DA shall validate and update the list of participating National Government Agencies (NGAs) and Government-Owned and Controlled Corporations (GOCCs) based on the issued NBM by the DBM;
- 3.5.1.3. The DA shall conduct a two-part meeting for the ADP to: i)

cascade ADP's objectives and direction for FY 2026; ii) present member agencies' accomplishments of commitments for FY 2025; and iii) gather inputs from the presentation of member agencies' FY 2026 Program Convergence Budget (PCB) on ADP;

3.5.1.4. Concerned DA-OUs shall identify areas for collaboration and specific support needed from the member agencies;

3.5.1.5. Participating agencies will be requested to validate the said commitments and submit to the DA the targets and funding requirements corresponding to its contribution to the attainment of the goals of the ADP through the Budget Preparation (BP) Form identified in the NBM, for the latter's information and evaluation.

3.5.2. Other Convergence Programs

3.5.2.1. DA-Internal Focal Units identified as members of the following Convergence Programs, based on [Annex C](#), shall report directly (through their chosen representatives) to the respective lead NGAs. The DA's membership in these programs may be updated based on future issuances from the DBM:

- Early Childhood Care Development Program (ECCDP)
- Zero Hunger Program (ZHP)
- Export Development Program (EDP)
- Tourism Development Program (TDP)
- Risk Resiliency Program (RRP)
- Sustainable Development Goals (SDGs)

3.5.2.2. All identified DA-Internal Focal Units shall convene/coordinate with the other participating OUs in their assigned Convergence Programs.

3.5.2.3. Subsequently, DA-Internal Focal Units shall submit their proposed PAPs to the lead NGA and provide the PMS-PPD with a copy. In addition, these focal units must encode their respective PAPs into the Online Submission of Budget Proposal (OSBP) System to facilitate the official submission of the Department.

3.6. Conduct of Series of Joint Technical Review Workshops

3.6.1. The PMS-PPD and FMS-BD will spearhead the conduct of the series of Joint Technical Review Workshops. The series of workshops, which will be conducted in three (3) clusters, aims to convene all OUs to discuss and examine their respective PBPs for FY 2026.

3.6.2. Regional Agricultural and Fishery Council (RAFC) Chairpersons shall

be invited onsite as panelists, to provide their inputs and recommendations on the proposals concerning their corresponding regions. CSO representatives shall be invited to attend in hybrid format (combination of onsite and online) in all clusters to serve as panelists as well.

- 3.6.3. All OUs shall use the prescribed templates to be provided by the PMS-PPD and FMS-BD as basis of their presentations. The presentations shall include salient features of OUs' PBPs, as well as their Top 5 Tier 2 proposals as provided in their PIP/Multi-Year Investment Program, among others.
- 3.6.4. Each presentation is followed by an open forum, where the selected panel of interpellators shall provide their comments and recommendations for the refinement of the OU's PBPs.
- 3.6.5. After each cluster, a certification to be signed by the concerned RAFC Chairperson and CSO representative will be provided as means to verify their involvement and participation in the said workshop.
- 3.6.6. All OUs shall revise their PBPs according to the general agreements and specific instructions during the workshops.

3.7. Conduct of the PCAF - National Sectoral Committee (NSC) Meetings

- 3.7.1. Following the series of TRWs, the PCAF shall convene NSC Meetings to serve as a consultative platform, recognizing the valuable participation of the private sector in the review and monitoring of the DA's priority programs. With this, the PCAF must ensure robust participation and involvement of the private sector across the various committees during these meetings.
- 3.7.2. All DA Banner Programs and concerned OUs specializing in other agricultural commodities shall attend and present to their respective NSC the revised FY 2026 PBPs, based on the agreements during the TRW.
- 3.7.3. The PCAF shall facilitate the concurrence of the NSC members to the revised FY 2026 PBPs of the OUs, through a resolution, which shall be adopted towards the end of the NSC meeting.

3.8. Conduct of the Internal Budget Hearing (IBH)

- 3.8.1. The PMS-PPD and FMS-BD shall spearhead the conduct of the IBH, which aims to convene the Department's Management Committee (ManCom) and concerned technical staff to discuss the DA's FY 2026 PBP and ensure its alignment with the DA's strategic priorities and agenda.
- 3.8.2. All OUs, except RFOs, through their respective Heads, shall present their FY 2026 PBPs, using the template to be provided by the PMS-PPD.

These proposals must already incorporate the agreements made during the IBF, TRWs, and NSC meetings. Hence, at this stage there should be minimal revisions in the OUs' FY 2026 PBPs.

- 3.8.3. The Executive Committee (ExeCom) members may provide further directives and guidance for the enhancement of the respective OU's FY 2026 PBPs.
- 3.8.4. After the IBH, all OUs shall align their proposals with the general agreements and specific instructions discussed during the said activity prior to accomplishing the DBM's Budget Preparation (BP) Forms.
- 3.8.5. The revised FY 2026 PBPs will be disseminated to the NAF Council members. They will be given 10 working days to review and provide inputs/recommendations on the plan in preparation for the NAF Council meeting. No submission of inputs/recommendations on the set deadline would mean concurrence to the disseminated FY 2026 PBP.
- 3.8.6. All OUs shall review and evaluate any comment and/or recommendation submitted by the NAF Council members within the 10 working day period for consideration in their respective FY 2026 PBP. The PCAF shall facilitate the feedbacking and tracking of DA-OUs' responses to private sector comments and recommendations from budget consultations, including those from the TRWs, consultations with the NSCs, and Sectoral Budget Committees (SBC).

3.9. Accomplishment and Finalization of the BP Forms

- 3.9.1. In line with the issuance of the Budget Call for FY 2026, all DA-OUs shall submit the accomplished BP Forms to the identified DA focal offices/consolidators, based on [Annex D](#).
- 3.9.2. All identified DA focal offices/consolidators shall review, validate, and ensure timely submission of the consolidated BP Forms assigned to them to the PMS-PPD and FMS-BD.

3.10. Inputting to Online Submission of Plan and Budget Proposals (OSBP)

- 3.10.1. All OUs shall finalize the BP Forms and ensure its accuracy and consistency in accordance with the agreements and directives laid out in the activities (e.g. IBC, IBF, TRWs, and IBH) prior to the inputting.
- 3.10.2. All OUs shall convene at a designated venue identified by the FMS-BD. FMS-BD and PMS-PPD will provide technical support during the entire inputting process.
- 3.10.3. All oversight offices at the national level, such as the Banner Programs and the SPCMAD, shall review and validate the final inputs of their implementing units.
- 3.10.4. Upon encoding and validation of proposals in the system, all OUs shall then generate and print hard copies of their respective BP Forms.

- 3.10.5. All OUs shall submit their finalized OSBP-Generated BP Forms to the identified focal offices and consolidators.

3.11. Presentation to the NAF Council

- 3.11.1. The DA, through the PCAF, shall organize and conduct the NAF Council meeting, where a designated ExecCom member will present the final FY 2026 PBP for deliberation and approval of the NAF Council.
- 3.11.2. A signed resolution of the NAF Council approving the DA's FY 2026 PBP will be released, otherwise, recommendations may still be provided for inclusion in the proposals.

3.12. Submission of FY 2026 PBP to DBM (Printed Copies)

- 3.12.1. All identified focal offices shall submit printed copies of the OSBP-Generated BP Forms to the PMS-PPD and FMS-BD for review, consolidation, and packaging, ensuring compliance with the specified deadline.
- 3.12.2. The PMS-PPD and FMS-BD shall facilitate the submission of the Department's FY 2026 PBP, using the prescribed OSBP-generated and BP forms, to the DBM within the timeline specified in the Budget Call.

3.13. Conduct of Technical Budget Hearing (TBH) with DBM

- 3.13.1. In preparation for the TBH, the PMS-PPD and FMS-BD shall conduct a desk review to finalize the list of Tier 2 proposals for endorsement. Only Tier 2 proposals both inputted in the Multi-Year Investment Program and the OSBP system shall be considered. Likewise, all OUs shall ensure that said proposals have complete details and the necessary supporting documents.
- 3.13.2. The result of the desk review shall be endorsed to the Undersecretary for Policy, Planning and Regulations and the Undersecretary for Finance for their guidance prior to request of approval from the Secretary.
- 3.13.3. A finalized list of Tier 2 proposals shall be submitted to the Office of the Secretary for approval, then submission to the DBM.
- 3.13.4. The DBM, in collaboration with the PMS-PPD and FMS-BD, shall conduct the TBH for the review of the Priority Tier 2 proposals of the DA.
- 3.13.5. Concerned OUs may be requested to present during the activity and defend their Top 5 Tier 2 proposals;
- 3.13.6. Concerned national OUs are required to participate in the TBH to address inquiries posed by the DBM.

3.14. Submission of DA's Counterproposal

- 3.14.1. Upon receiving the DBM-recommended budget, OUs shall update physical targets and BP Forms for submission to the DBM;
- 3.14.2. If the DA deems the DBM-recommended budget insufficient, the DA will submit a counterproposal to the DBM. This counterproposal shall only contain Tier 2 proposals based on the prioritization list.
- 3.14.3. Only proposals based on the Secretary's directive may be accommodated. Therefore, all concerned OUs with such prioritized proposals are expected to submit a clear and well-supported justification. This should include an updated BP Form 202, detailing financial breakdowns, expected outcomes, and the potential impact of the proposal ;
- 3.14.4. While awaiting for the reconfirmation of the DA's recommended budget for FY 2026, OUs included in the counterproposal shall prepare for the possible adjustment of their corresponding physical and financial targets.

3.15. Issuance of the FY 2026 NEP

- 3.15.1. Upon the official publication of the FY 2026 NEP by the DBM, all DA-OUs shall anticipate the request of the DBM to update specific BP Forms. All OUs shall ensure proper communication of updates or any notable change with their concerned implementers and regional counterparts. All updated BP Forms shall be submitted to the PMS-PPD and FMS-BD.
- 3.15.2. In addition, all OUs are instructed to commence necessary preparation for the budget legislation phase. To adapt with the lengthy public procurement process during implementation, all DA-OUs are enjoined to initiate early procurement as soon as the issuance of the FY 2026 NEP.

4. Tentative Calendar of Activities for FY 2026 Plan and Budget Cycle

Activity	Date
A. Preparatory Activities	4th Week of October - 2nd Week of November 2024
B. Conduct of Planning Workshops of the National Banner Programs and PMOs	3rd Week of November - 3rd Week of December 2024
C. Review and Endorsement of Indicative FY 2026 PBPs to PMOs	January 2025
D. Conduct of the FY 2026 IBC and IBF	1st Week of February 2025

Activity	Date
E. Conduct of Program Convergence Meetings	2nd Week of February and 2nd Week of March 2025
F. Series of Joint TRWs (3 Clusters)	3rd Week of February - 1st Week of March 2025
G. Conduct of the PCAF - NSC Meetings	2nd - 3rd Week of March 2025
H. Conduct of the IBH	4th Week of March 2025
I. Accomplishment and Finalization of the BP Forms	2nd Week of March - 1st Week of April 2025
J. Conduct of Inputting to OSBP System	2nd Week of April 2025
K. Presentation to the NAF Council	3rd Week of April 2025
L. Submission of FY 2026 PBP to DBM (Printed copies)	4th Week of April 2025
M. Conduct of TBH with DBM	1st Week of May 2025
N. Submission of DA's Counterproposal	June - July 2025*
O. Issuance of NEP	July - August 2025*

**Subject to DBM issuance*